STATISTICAL SAMPLING MEMO — EVALUATION

Client	Meridian Capital Group, LLC
Fiscal Year End	—
Period	FY 2025 (January 1 – December 31, 2025)
Source Document	AR Sub-Ledger — FY2025
Source File	meridian_ar_subledger.csv
Source Context	Exported from Meridian ERP (QuickBooks Enterprise) on Jan 15, 2026
Reference	SSM-2026-1023-203
Generated	23rd October 2026
Engagement Practitioner	—
Engagement Reviewer	—
Report Status	Draft

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STATISTICAL SAMPLING MEMO — EVALUATION

Meridian Capital Group, LLC

23rd October 2026 • SSM-2026-1023-203

I. Scope

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Source ... AR Sub-Ledger — FY2025 (meridian_ar_subledger.csv)
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This memo documents the statistical sampling procedures performed in accordance with ISA 530 (Audit Sampling) and PCAOB AS 2315 (Audit Sampling). Period under examination: FY 2025 (January 1 – December 31, 2025). Sampling method: Monetary Unit Sampling (MUS).

The automated statistical sampling procedures documented in this workpaper were performed on the population data subject to sampling procedures provided by management for the period under examination. These procedures are designed to identify potential data anomalies that may warrant further investigation by the engagement team. The analysis was performed with reference to the FASB Accounting Standards Codification and applicable professional auditing standards.

II. Design Parameters

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Population Size ................................ 1,240
Population Value ........................ $4,850,000.00
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Population value of $4,850,000.00 represents aggregate invoice activity for FY2025 per the AR sub-ledger (1,240 transactions). This differs from the ending AR balance of $892,000 (per Trial Balance) which represents the outstanding balance at December 31, 2025. The sampling population is the full transaction population, appropriate for testing the completeness and existence assertions over AR transactions.

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Confidence Level ................................ 95%
Confidence Factor ............................. 3.0000
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Confidence factor of 3.0000 corresponds to the 3.0000 (-ln(0.05), rounded) — 95% confidence level. Per the Poisson distribution table used in MUS, the factor is derived as -ln(1 - confidence level).

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Tolerable Misstatement ..................... $75,000.00
Expected Misstatement ...................... $15,000.00
Sampling Interval .......................... $16,666.67
Calculated Sample Size ............................ 291
Actual Sample Size ................................ 207
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Actual sample size increased from calculated 291 to 207 (+-84 items, +-28.9%) due to stratification. All 42 items in the High Value stratum (>$25,000) are tested 100%, plus 165 items selected from the Remainder stratum via systematic interval selection (42 + 165 = 207).

Tolerable Misstatement Derivation

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The tolerable misstatement of $75,000.00 was entered by the practitioner based on the engagement's overall materiality assessment. Per ISA 320.11, tolerable misstatement is the amount set by the auditor at less than materiality for the financial statements as a whole to reduce to an appropriately low level the probability that the aggregate of uncorrected and undetected misstatements exceeds materiality. The practitioner should document the basis for this amount in the engagement's materiality workpaper (e.g., WP-MAT-001).

Expected Misstatement Derivation

The expected misstatement of $15,000.00 was entered by the practitioner. This represents 20.0% of tolerable misstatement ($75,000.00), which is a common planning estimate when no prior year misstatement history is available. Per ISA 530.A4, the expected misstatement should be based on the auditor's knowledge of the client, including misstatements identified in prior periods. If prior year misstatement data is available, it should be used to refine this estimate.

The expansion factor used to derive the MUS sample size from this expected misstatement is drawn from the AICPA Audit Sampling Guide, Table A-1, with linear interpolation between the guide's published expected-to-tolerable ratio buckets.

III. Stratification

Stratum	Threshold	Count	Value	Sample
High Value (100%)	>$25,000	42	$2,100,000.00	42
Remainder (MUS)	≤$25,000	1198	$2,750,000.00	165

IV. Evaluation Results

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Sample Size ..................................... 207
Errors Found ..................................... 3
Total Misstatement ........................... $4,230.00
Projected Misstatement ..................... $10,036.67
Basic Precision ............................. $50,000.00
Incremental Allowance ....................... $4,135.02
Upper Error Limit (UEL) ..................... $64,171.69
Tolerable Misstatement ...................... $75,000.00
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Error Details

#	Item ID	Recorded	Audited	Misstatement	Tainting	Nature	Direction
1	INV-2847	$3,450.00	$3,200.00	$250.00	7.2%	Pricing error	Overstatement
2	INV-4102	$12,800.00	$9,220.00	$3,580.00	28.0%	Pricing error	Overstatement
3	INV-5391	$1,600.00	$1,200.00	$400.00	25.0%	Pricing error	Overstatement
	Total			**$4,230.00**			**All overstated**

Error Summary

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Errors Found ... 3 of 207 items tested (1.4% error rate)
Total Actual Misstatement ..................... $4,230.00
All errors ............................. Overstatements
Error nature ..................... Pricing error (3 of 3)
Largest single error ... INV-4102 $3,580.00 (84.6% of total misstatement)
Projected misstatement ..................... $10,036.67
Projection vs. expected ... $4,963.33 below expected — favorable
UEL headroom ..... $75,000.00 - $64,171.69 = $10,828.31
As % of TM .... 85.6% of TM utilized (14.4% headroom)
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UEL Derivation (Stringer Bound Method)

1. Basic Precision

Formula: Sampling Interval × Confidence Factor at 0 errors

Computation: $16,666.67 × 3.0000 = $50,000.01

Basic Precision represents the minimum precision achievable with this sample even if no errors are found. It equals the confidence factor multiplied by one sampling interval.

2. Projected Misstatement

Error 1 (INV-4102, tainting 28.0%): 0.2797 × $16,666.67 = $4,661.67

Error 2 (INV-5391, tainting 25.0%): 0.2500 × $16,666.67 = $4,166.67

Error 3 (INV-2847, tainting 7.2%): 0.0725 × $16,666.67 = $1,208.33

Total Projected Misstatement: $10,036.67

3. Incremental Allowance

Formula: Σ (tainting × sampling interval × (incremental factor − 1.0))

Per the Poisson reliability-factor series at 95% confidence, each successive error contributes a smaller incremental allowance, reflecting the diminishing marginal impact on the upper error limit. The factors are the first differences of that series, per the AICPA Audit Sampling Guide, 2019 (unchanged 2023) edition).

Error 1 (INV-4102): factor 1.75 − 1.0 = 0.75; 0.2797 × $16,666.67 × 0.75 = $3,496.25

Error 2 (INV-5391): factor 1.55 − 1.0 = 0.55; 0.2500 × $16,666.67 × 0.55 = $2,291.67

Error 3 (INV-2847): factor 1.46 − 1.0 = 0.46; 0.0725 × $16,666.67 × 0.46 = $555.83

Total Incremental Allowance: $6,343.75

4. Upper Error Limit

UEL = Basic Precision + Projected Misstatement + Incremental Allowance

UEL = $50,000.00 + $10,036.67 + $4,135.02 = $64,171.69

UEL ($64,171.69) < TM ($75,000.00) → PASS

V. Methodology

Interpretive Context: The results presented herein reflect automated data analytics and are intended to support, not replace, professional judgment. Identified anomalies may indicate areas requiring additional inquiry but do not, in

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themselves, constitute evidence of error, fraud, or material misstatement. The engagement team should evaluate each flagged item in the context of the overall engagement risk assessment and perform corroborating procedures as deemed necessary under applicable professional standards.

Monetary Unit Sampling (MUS) was applied in accordance with ISA 530 and PCAOB AS 2315. The sample was selected using systematic dollar-interval selection with a cryptographically secure random start (Python secrets module). Sample evaluation uses the Stringer bound method, which calculates the upper error limit as: Basic Precision + Projected Misstatement + Incremental Allowance for sampling risk.

Authoritative References

Body	Reference	Topic	Status
IAASB	ISA 530	Audit Sampling	Current
PCAOB	AS 2315	Audit Sampling	Current
AICPA	AU-C Section 530	Audit Sampling	Current
FASB	ASC 450-20	Contingencies — Loss Contingencies	Current

† ASC 450-20 applies when identified misstatements indicate a probable loss contingency meeting recognition criteria under ASC 450-20-25. Relevant if projected misstatements suggest a probable loss contingency requiring accrual or disclosure.

VI. Conclusion

SAMPLING CONCLUSION: ✓ PASS

UEL $64,171.69 < TM $75,000.00

Confidence: 95% | Errors: 3

UEL Within Tolerable Misstatement

The upper error limit ($64,171.69) does not exceed the tolerable misstatement ($75,000.00). Based on this sample, the population is accepted at the 95% confidence level. The 3 errors identified are individually immaterial and represent pricing differences.

Correction status: Not confirmed. Obtain management's response to the identified errors and document whether correcting entries were posted. See Next Steps — Step 1.

VII. Next Steps

Sampling evaluation is complete. The upper error limit of $64,171.69 does not exceed the tolerable misstatement of $75,000.00 at the 95% confidence level. The auditor should evaluate this result in the context of other audit evidence obtained and the overall engagement risk assessment before concluding on the population (ISA 530.14). The following actions are required to close out the sampling workpaper:

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Step 1 — Communicate Identified Errors to Management

Present the 3 identified errors ($4,230.00 total) to management for their response. Request confirmation of whether management agrees the items are misstated and whether correcting entries will be posted. Document management's response in the engagement file.

Step 2 — Obtain Evidence of Correction

For any errors management agrees to correct, obtain the correcting journal entry or amended invoice before the engagement is finalized. If corrections relate to a subsequent period, confirm the adjustment was recorded in the correct period under applicable accounting standards.

Step 3 — Assess Uncorrected Misstatements

If management declines to correct any identified error, accumulate the uncorrected amount in the summary of uncorrected misstatements per ISA 450. Assess whether the aggregate of uncorrected misstatements is material to the financial statements as a whole.

Step 4 — Update Management Representation Letter

Ensure the management representation letter (ISA 580) addresses the completeness of the population, management's acknowledgment of the 3 errors identified in sampling, and any related valuation or collectibility assertions.

Step 5 — Cross-Reference to Related Workpapers

Cross-reference the 3 identified errors to the related testing memo. Confirm whether any of the sampled items (INV-2847, INV-4102, INV-5391) relate to findings in other workpapers.

This memo documents automated statistical sampling testing procedures with reference to ISA 530 (Audit Sampling) and PCAOB AS 2315. Results represent data anomalies identified through analytics and are not conclusions regarding internal control effectiveness, fraud, or material misstatement risk. The auditor must evaluate each flagged item in the context of the engagement and perform additional procedures as necessary per professional standards. This memo does not constitute audit evidence sufficient to support an opinion without corroborating procedures. Generated by Paciolus — Zero-Storage Audit Intelligence.